

Copyright in a Digital Ecosystem

A User Rights Approach

*Niva Elkin-Koren**

ABSTRACT

The rights of users of copyrighted materials are growing in significance. This is the result of fundamental changes in the creative ecosystem that pull in opposite directions: on the one hand, the flourishing of user-generated content places individual users at the forefront of creative processes, strengthening the need to facilitate unlicensed use of creative materials. On the other hand, digital distribution, cloud computing, and mobile Internet strengthen restrictions on the freedom of users to access, experience, transform, and share creative materials.

These changes necessitate a user-rights approach to copyright law. Users' interests are often examined through the prism of Limitations and Exceptions (L&E) to copyright. However, this narrow view overlooks the users' critical role in serving the goals of copyright law and may therefore ultimately lead to inefficient outcomes.

A user-rights approach holds that permissible uses under copyright law should be articulated and treated as rights. It deviates from the L&E approach at the theoretical level, with some potential doctrinal implications. At the theoretical level, this approach shifts the locus of copyright analysis from author's rights to the creative process, emphasizing the role of users as partners in promoting copyright objectives. Rather than being "parasites" that benefit – unjustly – from limits on the just rewards of authors, users actively participate in promoting the creation, dissemination, and use of cultural works. A user-rights approach further suggests that to achieve its goals, copyright law should be drafted, interpreted, and applied in ways that consider the rights and duties of both users and authors. Permissible uses that serve the objectives of copyright law should therefore be defined as rights rather than as a legal defense.

* Professor of Law, Faculty of Law, University of Haifa, Israel. I thank William Fisher, Michael Geist, Wendy Gordon, Eldar Haber, Justin Hughes, Peter Jaszi, Jessica Litman, Neil Netanel, Ruth L. Okediji, Pamela Samuelson, and Jerry Reichman for invaluable discussions and helpful comments on earlier versions of this chapter.

The purpose of this chapter is to offer a theoretical framework for developing a jurisprudence of user rights. It demonstrates how the recognition of the role of users in promoting the purpose of copyright law could change our perspective on the scope of copyright protection and what should be considered permissible use. The user-rights approach does not purport to offer a detailed prescription on the desirable level of unlicensed use. It does offer, however, a theoretical framework for deciding what should be the scope of permissible use in each particular case.



5.1. INTRODUCTION

The rights of users of copyrighted materials are growing in significance.¹ This is the result of fundamental changes in the creative ecosystem that pull in opposite directions: on the one hand, the rise of user-generated content places individual users at the forefront of creative processes, strengthening the need to facilitate unlicensed use of creative materials. On the other hand, digital distribution facilitates a continuing expansion of copyright and strengthens restrictions on the freedom of users to access, experience, transform, and share creative materials.

We are now a quarter-century into the digital era, and recent changes in the digital ecosystem are threatening access to knowledge and civil liberties. The rise of cloud computing and mobile Internet has transformed the delivery of content from the sale of copies to the provision of services.² Streaming gives content owners ongoing control over the use and distribution of copyrighted materials. Moreover, copyright restrictions on the use of online materials are supplemented by contractual restrictions and restraints on use embedded in the design. Access to creative works is often made possible by online intermediaries, using algorithms to filter, block, and disable access to some materials. Access is often subject to monitoring and surveillance. The robustness of algorithmic filtering, removal, and blocking practices is effectively changing copyright default: copyrighted materials were once available unless proven infringing, while now materials detected by algorithms are unavailable unless explicitly authorized by the copyright owner.

These changes in the digital ecosystem are shaping the creative processes. While digital networks created new potential for user participation in creative processes, this environment is also putting the rights of online users under siege. The growing dependency on digital content, coupled with stronger copyright protection, has led overall to the narrowing of user liberties.

3. In this chapter, I argue that these changes necessitate a user-rights approach to copyright law. That is due to several reasons: First, as users assume an ever greater

role in the creative environment, it becomes necessary to understand the part they play in promoting copyright goals. Second, deeper understanding of the users' role in advancing the goals of copyright and the conditions required for this may offer a theoretical framework for developing user rights. Recognition of the interdependency of authors and users, and their respective roles in the creative process, may entail a different scope of protection, corresponding duties, and possibly procedural implications. Third, a user-rights approach may help set the boundaries between copyright and private ordering, based on a more balanced perspective informed by copyright goals. It creates a legal framework for reviewing contractual terms and setting limits on private ordering, thereby offering more robust safeguards to users' liberties in the digital ecosystem. Finally, a user-rights approach could help develop a broader perspective on the rights and liberties necessary to sustain freedom in the digital era. This broader perspective could also be tied to other user liberties, such as free speech, freedom of information, privacy, consumer protection, and freedom of occupation.

Users' interests are often examined through the prism of Limitations and Exceptions (L&E) to copyright. This perspective seeks to identify the circumstances under which it is justified to set limits on the full scope of rights assigned to copyright owners. However, this narrow view overlooks the users' critical role in serving the goals of copyright law and may therefore ultimately lead to inefficient outcomes.

A user-rights approach holds that permissible uses under copyright law should be articulated and treated as rights. It deviates from the L&E approach at the theoretical level, with some potential doctrinal implications. On the normative level this approach shifts the locus of copyright analysis from author's rights to the creative process, emphasizing the role of users as partners in promoting copyright objectives. Copyright law seeks to promote the creation of new works for the benefit of the public, and consequently should focus on stimulating activity that fosters creation, learning, intellectual enrichment, and progress.¹ Designing incentives to create requires consideration of the full range of activities involved in the creative process, including generating new works, transforming existing materials, absorbing, learning, expressing, and disseminating new knowledge. Users take part in some of these processes. Thus, rather than being "parasites" that benefit – unjustly – from limits on the just rewards of authors, users actively participate in promoting the creation, dissemination, and use of cultural works.

On the doctrinal level a user-rights approach suggests that copyright law should be drafted, interpreted, and applied in ways that consider the rights and duties of both users and authors. To achieve copyright goals and promote creation, it is necessary

¹ Pierre N. Leval, *Toward a Fair Use Standard*, 103 HARV. L. REV. 1105, 1107 (1990).

to design rights and duties for both authors and users of creative works and to define permissible uses that serve the objectives of copyright law as rights rather than as a legal defense. The framing of permissible uses as rights offers a legal framework for analyzing the potential threats to desirable uses which serve copyright purposes. This is particularly important given the emerging threats to the freedom of users and access to knowledge.

The purpose of this chapter is to offer a theoretical framework, for developing a jurisprudence of user rights. It demonstrates how the recognition of the role of users in promoting the purpose of copyright law could change our perspective on the scope of copyright protection and what should be considered permissible use. The user rights approach does not purport to offer a detailed prescription on the desirable level of unlicensed use. It does offer, however, a theoretical framework for deciding what should be the scope of permissible use in each particular case.

The chapter proceeds as follows: Section 5.2 explains the growing need to develop a user-rights approach in the digital ecosystem, describing the rise of user-generated content (UGC) and the growing threats to users' freedom. Section 5.3 offers a theoretical framework for justifying user rights. It analyzes the role of use and users in copyright law and argues that to promote creation, copyright law should focus on the rights of authors and of users alike. Section 5.4 considers how the law should promote desirable unlicensed use: Is it sufficient to afford users a legal defense in some circumstances, or is it necessary to recognize a right to make permissible use? Section 5.5 concludes by demonstrating some legal implications of a user-rights approach.

5.2. USERS IN THE DIGITAL ECOSYSTEM: OPPORTUNITIES AND THREATS

The rise of user rights is linked to fundamental changes in the creative ecosystem that pull in opposite directions: the flourishing of UGC on the one hand and the stronger restrictions on the freedom of users to access, experience, transform, and share creative materials, on the other hand.

4. Digital technology has changed the way we create, share, and experience cultural works, placing users at the forefront of creative processes. The term *user* may refer to different types of players engaging with cultural works in a variety of ways: readers of books, eBooks and online journals; users of embedded-software and Apps for smartphones; music fans who play songs on YouTube, subscribers to Spotify, or buyers on iTunes; viewers of live streams and renters or buyers of movies from platforms such as Amazon or Netflix.

Users play a greater role in generating culture, as a result of a sharp reduction in the cost of producing and mass distributing content, and the popular availability of

tools which make this possible.² Users blog, tweet, edit, take pictures, shoot videos, write software, compose music, report the news, and share pictures, news, and videos on social networks.³ The digital format enables easy mix and match, cut and paste, edit and remix. Music fans create new remixes, users compose memes from images, buyers appropriate cultural icons to express a new meaning, and communities of users collaborate in authoring software and news.

The rise of UGC as a significant cultural force in the twenty-first century necessitates adjustment of copyright law tailored to serve the needs of mass production of content that dominated the twentieth century.⁴ Indeed, the digital ecosystem still consists of commercial producers of creative content, which relies on the incentives schemes set by the existing copyright regime. However, mass production of content is increasingly supplemented by robust creative activity of individual users, working alone or collaborating online.

This new fabric of the creative environment warrants adjustments in copyright law. UGC creates a greater need to secure sufficient access to preexisting materials. Users often lack the necessary legal knowledge and skills required to acquire a license to use copyrighted materials, and even more importantly they often lack a business model for funding a license fee. The uncertainty regarding permissible uses and the risk of liability dampen users' engagement in cultural works and impede participation in generating culture.

Moreover, access to knowledge has become fundamental in this environment. Digital content embraces a whole array of everyday practices, from transactional and professional services to education and social and political interactions. We have become dependent on digital content for almost every aspect of life: from reading the news and sharing pictures on social media to watching films, listening to music, and managing our financial affairs. Therefore, the rights and duties pertaining to the use of digital content might be essential not only for professional and business matters but also for our social life, personal growth, and self-expression.

On the other hand, over the past two decades users' freedom to access, experience, transform, and share creative materials has constantly declined. Constraints

² See YOCHAI BENKLER, *THE WEALTH OF NETWORKS: HOW SOCIAL PRODUCTION TRANSFORMS MARKETS AND FREEDOM* 213 (2006); LAWRENCE LESSIG, *REMIX: MAKING ART AND COMMERCE THRIVE IN THE HYBRID ECONOMY* (2008); Niva Elkin-Koren, *User-Generated Platforms*, in *WORKING WITHIN THE BOUNDARIES OF INTELLECTUAL PROPERTY: INNOVATION POLICY FOR THE KNOWLEDGE SOCIETY* 111, 116–17 (Rochelle C. Dreyfuss, Diane L. Zimmerman, & Harry First eds., 2010).

³ See, e.g., Florence Le Borgne-Bachschmidt, Sophie Girieud, Marc Leiba, Silvain de Munck, Sander Limonard, Martijn Poel, Linda Kool, Natali Helberger, Lucie Guibault, Esther Janssen, Nico van Eijk, Christina Angelopoulos, Joris van Hoboken & Ewout Swart, *USER-CREATED-CONTENT: SUPPORTING A PARTICIPATIVE INFORMATION SOCIETY* 50–53 (2008).

⁴ Elkin-Koren, *User-Generated Platforms*, *supra* note 2, at 116–17; Steven Hetcher, *User-Generated Confusion: The Legal and Business Implications of Web 2.0*, 10 *VAND. J. ENT. & TECH. L.* 863, 871 (2008).

on the freedom of users of digital works are due to technological, business, and legal developments.

The distributed network architecture, open access, and total availability of content, which characterized the evolution of the Internet from the early 1990s,⁵ are sidelined by more centralized and closely monitored environment. We are now a quarter of a century into the digital era, and the digital ecosystem has changed, restricting access to knowledge and threatening civil liberties. The rise of cloud computing and mobile Internet has transformed the delivery of content from the sale of copies to the provision of services, facilitating ongoing control over the use and distribution of copyrighted materials. 

Copyright law plays a central role in shaping access to content and informational resources, affecting users' ability to read, use, and reuse works. In recent decades copyright protection has expanded, extending protection to new types of works for longer periods of time, and broadening the scope of rights and remedies offered to copyright owners, nationally and internationally. This steady expansion of copyright, named by Boyle "the second enclosure,"⁶ has narrowed user liberties.

Take, for instance, reselling and lending copies. For decades, copyright law has distinguished ownership in the copyright from ownership in a copy. While ownership of copyright in a novel confers the right to make copies, ownership of a copy entitled libraries to lend the books in their collection and enabled book buyers to resell their used books. Resale of digital content, however, may involve the creation of temporary copies, and a broad interpretation of the reproduction rights under copyright may render such copying a copyright infringement.⁷ In a recent lawsuit brought by Capitol Records against Redigi for copyright infringement, the court gave such a broad interpretation to the reproduction right, rendering any unauthorized transfer of a digital copy a copyright infringement.⁸ This interpretation affords

⁵ This environment of total availability is eloquently described by Litman. See Jessica Litman, *Sharing and Stealing*, 26 COMM. ENT. L.J. 1 (2004).

⁶ JAMES BOYLE, *THE PUBLIC DOMAIN: ENCLOSING THE COMMONS OF THE MIND* (2008).

⁷ *Capitol Records, LLC v. ReDigi Inc.*, 934 F. Supp. 2d 640 (S.D.N.Y. 2013).

⁸ Redigi has developed a secondary marketplace, where consumers of digital music can resell their legally purchased copies. Selling digital copies has always raised a concern that the delivery of copies from one person to another would in fact generate additional unauthorized copies: the original would remain with the seller and duplicates would be sent to the buyers. Redigi's design attempted to ensure that the transfer of a copy from one location to another would not create an additional copy. As each packet of the file is uploaded to the Cloud Locker, that packet is immediately deleted from the user's hard disk, ensuring that no two copies of the work exist at the same time. Nevertheless, the court held that any transfer of copies inevitably involves reproduction within the meaning of copyright law, even when no additional copies were involved. The court held that "Because the reproduction right is necessarily implicated when a copyrighted work is embodied in a new material object, and because digital music files must be embodied in a new material object following their transfer over the Internet, the Court determines that the embodiment of a digital music file on a new hard disk is a reproduction within the meaning of the Copyright Act." *Id.* at 649–50.

rightholders absolute control over any exchange of copies, even when no additional copies are made. In the emerging environment of cloud computing, where many of the software, data, and services are kept beyond users' control, this decision means a complete loss of control over creative content that users have purchased.

Still, copyright is no longer the sole form of constraint on access to knowledge and use of cultural works. The steady expansion of copyright has also been accompanied by further expansion of neighboring rights. Legal restrictions on use set by copyright law are supplemented by contractual restrictions and embedded in the design. For instance, the shift to cloud distribution and mobile Internet has transformed the delivery of content from the sale of copies to the provision of services. Users of creative works are increasingly offered mere access to eBooks, music files, or movies for a monthly fee. Consequently, users lack control over a physical copy and their access to the content may expire at any time.

Access to creative works is made possible by online intermediaries, using algorithms to filter, block, and disable access to copyrighted materials. Access is often subject to monitoring and surveillance. The robustness of algorithmic filtering, removal, and blocking practices is effectively changing the copyright default: Copyrighted materials were once available unless proven infringing, while now materials detected by algorithms are unavailable unless explicitly authorized by the copyright owner.

With the shift from commodity to service, the scope of user rights is defined, for the most part, by a license and the design, using Digital Rights Management (DRM) Systems or Technological Protection Measures (TPM). Consequently, users are subject to ongoing and intermittent changes in the terms of access to their purchased copies (e.g., Apple reducing the number of authorized copies of the playlist) or alternatively their access to purchased content may be terminated altogether. A striking example of the lack of consumer control over a purchased digital copy is the Orwellian 1984 saga, in which Amazon.com remotely removed from Kindle purchased copies of George Orwell's book 1984 due to some copyright concerns. Following a public outcry, Amazon.com apologized and later settled a class action brought against it for violating its terms of service by remotely deleting purchased copies of the book.

Copyright law is also often invoked to prevent compatibility between digital content and different playing devices, using the right of reproduction or anticircumvention legislation. Lack of interoperability may prevent users from using copyrighted materials on other devices, for example, iBooks of Apple on Kindle of Amazon, or from transferring content from one platform to another. Users may also be banned from interacting with information acquired on another platform or merging several types of content obtained from different sources.

The use of DRMs/TPMs enables postpurchase control of eBooks, software, movies, and music, while statutory bans on circumvention further weaken the rights of

users of digital content.⁹ Built-in surveillance is an example: Adobe Spyware, which allegedly tracks and reports the reading habits of users of Adobe's e-book software, "Digital Editions," illustrates growing concerns for readers' privacy and security.¹⁰ Widespread monitoring and automated filtering by online platforms (e.g., YouTube Content ID) create further layers of protection which may threaten user rights to privacy and freedom of expression.¹¹

Other constraints on users' freedom to access and use copyrighted materials are contractual. Restrictions on users' rights to use or resell digital copies are set by End User License Agreements (EULAs) or by Terms of Use (TOU) which are often drafted by online mega-platforms. Digital content is often subject to EULAs, which greatly limit what may be done with a digital work. A license may define an expiration date or limit the right of perpetual use. Some EULAs attempt to extend protection to aspects of the work not covered by copyright protection,¹² or to restrict fair use, such as the right of software users to engage in reverse engineering.¹³ EULAs often provide nonownership by the licensee in the licensed copy, and to set limits on the right to resell the copy.¹⁴ Some EULAs restrict permissible use to designated reading devices (e.g., iBooks for iPad), or permit the making of only a limited number of backup copies.¹⁵ Some licenses set limits on public e-lending by libraries. For instance, HarperCollins, a major publishing company, offers e-lending licenses to libraries, using a metered access model so that libraries are authorized to circulate each eBook only twenty-six times before the license expires and a new digital copy must be repurchased. Restricting the public lending privileges of libraries may undermine their ability to serve their public function by ensuring free access to knowledge which is guided by a professional code of ethics. Such limitation clauses directed at libraries also affect the public at large, limiting opportunities for accessing knowledge in an environment that is committed to the ethical principles of public libraries: diversity, pluralism, and freedom of speech.¹⁶

⁹ See, e.g., the anticircumvention provisions of the DMCA.

¹⁰ See Corynne Mcsherr, *Adobe Spyware Reveals (Again) the Price of DRM: Your Privacy and Security* (Oct. 7, 2014) available at www.eff.org/deeplinks/2014/10/adobe-spyware-reveals-again-price-drm-your-privacy-and-security.

¹¹ Michael S. Sawyer, *Note, Filters, Fair Use & Feedback: User-Generated Content Principles and the DMCA*, 24 BERKELEY TECH. L.J. 363, 388–90 (2009); Ira S. Nathenson, *Civil Procedures for a World of Shared and User-Generated Content*, 48 UNI. LOUISVILLE L. REV. 912, 938–44 (2010).

¹² *ProCD, Inc v. Zeidenberg*, 86 F.3d 1447 (7th Cir. 1996).

¹³ *Bowers v. Baystate Technologies*, 320 F.3d 1317 (Fed. Cir. 2003).

¹⁴ *Vernor v. Autodesk, Inc.*, 621 F.3d 1102 (9th Cir. 2010).

¹⁵ See David R. Hansen, *A State Law Approach to Preserving Fair Use in Academic Libraries*, 22 FORDHAM INTELL. PROP. MEDIA & ENT. L.J. 1 (2011).

¹⁶ See CIVIC AGENDA, LIBRARIES, E-LENDING, AND THE FUTURE OF PUBLIC ACCESS TO DIGITAL CONTENT (2012), available at www.ifla.org/node/7447.

Overall, these developments in law, design, and business models limit users' freedom to access, experience, transform, and dispose of copyrighted materials. The legal framework of L&E is simply insufficient to counterbalance this rapid expansion of copyrights and safeguard user liberties in the digital environment, as it always lags behind the ever increasing rights. The L&E framework takes the form of a defensive strategy, one which assumes the current regime as its baseline. The scope of exclusive rights is accepted as a given, and in turn sets a high threshold for any new exception. The continuous expansion of copyright over recent decades and the fencing of content through licenses and technical means, including cases where L&E would normally apply, strengthen the need to develop a different approach to securing freedom of uses.

5.3. FORMULATING A THEORY OF USER RIGHTS

5.3.1. *Moving beyond Limitations and Exceptions*

9. In copyright law users are often perceived through the prism of L&E to copyright. L&Es define circumstances where some uses of protected works could be made without authorization. Copyright law may define such circumstances by rules which apply to strictly defined users (e.g., nonprofit educational institutions), particular uses (e.g., temporary copying), or certain types of works (e.g., computer programs). Alternatively, L&E could be defined by standards such as *fair use* or *fair dealing* that leave it to the court to decide whether an unauthorized use should be allowed.¹⁷

10. Fair use, for instance, permits the unauthorized use of copyrighted works based on a four-factor analysis applied retroactively by the court. In determining whether a use is fair, courts would consider the purpose and character of use, the nature of the used work, the amount taken, and the potential market harm.¹⁸

The literature on L&E offers several theoretical grounds to justify the limits on copyright. Such theoretical frameworks may prove useful in assisting the courts to identify the appropriate scope of L&E, and are crucial for the legal analysis of standards, such as fair use or fair dealing, where the courts are expected to exercise broad discretion.

¹⁷ *Fair use* defines an open norm for deciding permissible uses of copyrighted material based on a fairly ambiguous set of standards. The fair use provisions in the U.S. 1976 Copyright Act codified judicial opinions which developed this open norm. *Fair dealing* is a relatively narrow standard, which is common in many common law jurisdictions, including the United Kingdom, Canada, and Australia. To qualify for fair dealing a use must fall under one of the enumerated uses defined by law. See Sarah Sklar-Heyn, Note, *Battling Clearance Culture Shock: Comparing U.S. Fair Use and Canadian Fair Dealing in Advancing Freedom of Expression in Non-Fiction Film*, 20 CARDOZO J. INT'L COMP. L. 233, 236 (2011).

¹⁸ 17 U.S.C. § 107.

1. One set of justifications for L&E focuses on the need to balance author rights against a public interest. From this perspective, it is sometimes necessary to limit the rights of authors in cases where a rigid application of their rights would prevent socially beneficial uses and possibly conflict with the public interest in freedom of expression, competition, consumer protection, or innovation.¹⁹ L&E are meant to balance interest in securing just rewards for authors with the public interest. To achieve a proper balance, L&E may come into play whenever the broad proprietary right of the copyright owner might endanger socially beneficial values. One example is where copyright enforcement may conflict with free speech.²⁰ Copyright protects “expressions,” therefore it might compromise the free speech of nonowners who wish to use such expressions to state an opinion or voice their criticism. Fair use may offer a built-in safeguard which allows the court to balance the rights of authors and free speech.²¹

By and large, other approaches to L&E are grounded in general theories of copyright law.²² Judge Pierre Leval has eloquently argued:

Fair use should be perceived not as a disorderly basket of exceptions to the rules of copyright, not as a departure from the principles governing that body of law, but rather as a rational, integral part of copyright, whose observance is necessary to achieve the objectives of that law.²³

The economic approach to copyright law, for instance, explains L&E in terms of market failures. It assumes that in the absence of a market failure, markets could regulate the efficient level of investment in developing new works and secure their efficient use. Copyright law assigns ownership in creative works in order to address the market failure of public goods associated with informational resources.²⁴ In a seminal article Wendy Gordon argued that fair use could justify some socially beneficial uses that would fail to occur due to a market failure.²⁵ One example is high

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¹⁹ Rebecca Tushnet, *Copy This Essay: How Fair Use Doctrine Harms Free Speech and How Copying Serves It*, 114 YALE L.J. 535 (2004); Malla Pollack, *A Listener's Free Speech, A Reader's Copyright*, 36 HOFSTRA L. REV. 1457 (2007).

²⁰ See NEIL W. NETANEL, COPYRIGHT'S PARADOX (2008).

²¹ *Eldred v. Ashcroft*, 537 U.S. 186, 221 (2003). See also Michael Birnhack, *Copyright Law and Free Speech after Eldred v. Ashcroft*, 76 S. CAL. L. REV. 1275 (2003).

²² See e.g., William W. Fisher III, *Reconstructing the Fair Use Doctrine*, 101 HARV. L. REV. 1659 (1988) (arguing that copyright law in general, and fair use doctrine in particular, should be applied to facilitate a utopian vision of the good life and human flourishing).

²³ See Leval, *supra* note 1, at 1107.

²⁴ WILLIAM LANDES & RICHARD POSNER, *THE ECONOMIC STRUCTURE OF INTELLECTUAL PROPERTY LAW* 116 (2003).

²⁵ See Wendy J. Gordon, *Fair Use as Market Failure: A Structural and Economic Analysis of the Betamax Case and Its Predecessors*, 82 COLUM. L. REV. 1600 (1982) (Gordon argued that fair use should be awarded to the defendant in a copyright infringement action when there is a market failure, the

transaction costs. When transaction costs are higher than the expected benefits to the parties, a license agreement might not take place, and the use will not materialize even when it is likely to increase overall welfare. For instance, a school teacher who seeks to show a few video clips in class for educational purposes may give up the use altogether if she is required to acquire a license for each and every use: identify multiple owners, negotiate a license, and pay the license fee. Similarly, a socially beneficial use may not occur due to another market failure: externalities.²⁶ For instance, even though the public could benefit from compatible computer programs, which are likely to facilitate competitive prices and facilitate further innovation, a license might not be available. Rightholders may refuse to license a compatible program, or may overcharge for it, in order to minimize competition. In such circumstances, the market will fail to reach an efficient outcome, and consequently it would be justified to limit the rights of copyright owners and allow unauthorized use.²⁷

Another theoretical approach to copyright focuses on what is sometimes perceived as conflicting goals of copyright law: on the one hand seeking to secure incentives to authors and on the other hand seeking to promote wide dissemination of works for the benefit of the public. Permitting too much unauthorized use extinguishes the economic incentive to create, which copyright is intended to provide, while strict copyright enforcement may stifle the dissemination of works and limit access by the general public, which is the ultimate goal that copyright seeks to promote in the first place.²⁸

Several scholars have questioned the attempt to identify a grand theory that would offer a comprehensive explanation for L&E.²⁹ Instead they take a bottom-up approach, which extracts a set of organizing principles from existing exceptions.

transfer of the use to defendant is socially desirable, and fair use would not cause substantial injury to the incentives of the copyright owner).

²⁶ Externalities occur when a particular use of copyrighted materials could benefit parties other than the licensor and licensee. In those circumstances, the cost benefit analysis of the parties in deciding whether to license the use might be incompatible with public welfare. NIVA ELKIN-KOREN & ELI E. SALZBERGER, *THE LIMITS OF ANALYSIS: LAW AND ECONOMICS OF INTELLECTUAL PROPERTY IN THE DIGITAL AGE* (2012).

²⁷ Gordon, *supra* note 25, at 1614. Note, however, that according to Gordon fair use will apply in the case of a market failure only when “transfer of the use to defendant is socially desirable” and fair use “would not cause substantial injury to the incentives of the plaintiff copyright owner.”

²⁸ See, e.g., *Cambridge Univ. Press v. Patton*, 769 F.3d 1232 (11th Cir. 2014) (“If copyright’s utilitarian goal is to be met, we must be careful not to place overbroad restrictions on the use of copyrighted works, because to do so would prevent would-be authors from effectively building on the ideas of others. Some unpaid use of copyrighted materials must be allowed in order to prevent copyright from functioning as a straitjacket that stifles the very creative activity it seeks to foster. If we allow too much unpaid copying, however, we risk extinguishing the economic incentive to create that copyright is intended to provide.”)

²⁹ Michael J. Madison, *A Pattern-Oriented Approach to Fair Use*, 45 WM. MARY L. REV. 1525, 1564 (2004).

These principles may justify treating L&E as a coherent category and consequently inform their interpretation.³⁰

Overall, the literature pertaining to L&E has focused primarily on circumstances where copyright must be limited or where extending the full scope of rights to copyright owners would be unjustifiable. A shortcoming of this approach is that it takes ownership of copyright as its baseline and treats the circumstances where limits are justifiable as exceptions. This view overlooks the critical role of users in serving the goals of copyright law and fulfilling its objectives.

Users have traditionally enjoyed relatively little attention in copyright scholarship and legal discourse. The focus is mostly the original author and authors' rights. The functions and needs of users of copyrighted materials are generally under-researched. Also, relatively little attention is paid to the legal definition of L&E and the legal consequences they carry. The absence of a systematic account of the users' role in the creative environment has limited the perspective of courts and policy makers in shaping copyright policy. Users have been mostly viewed as "parasites" who benefit, undeservedly, from limits on the just rewards of authors. Consequently, permissible uses have been perceived as exceptions, offered sparingly and interpreted narrowly.

Indeed, users of copyrighted materials are sometimes mentioned by scholars and courts as the ultimate beneficiaries of copyright schemes. That is, copyright is designed to serve the public interest by rewarding authors so that they will continue to create for the benefit of readers, viewers, and listeners.³¹ The use of copyrighted materials is thus viewed as the outcome of copyright law, fulfilling one of the law's objectives.³² Yet even this reading of copyright law still emphasizes the need to reward authors alone, and users, by this view, are always secondary.³³ This view rests on superficial assumptions about the creative ecosystem, and therefore it may ultimately lead to inefficient outcomes.

³⁰ Pamela Samuelson, *Justifications for Copyright Limitations & Exceptions*, in *COPYRIGHT LAW IN AN AGE OF LIMITATIONS AND EXCEPTIONS* (Ruth L. Okediji ed., 2017).

³¹ See, *Authors Guild, Inc. v. HathiTrust*, 755 F.3d 87 (2d Cir. 2014) (citing Pierre N. Leval "In short, our law recognizes that copyright is not an inevitable, divine, or natural right that confers on authors the absolute ownership of their creations. It is designed rather to stimulate activity and progress in the arts for the intellectual enrichment of the public."). See also Jessica Litman, *Readers' Copyright*, 58 J. COPYRIGHT SOC'Y 325-53 (2011).

³² This approach is also consistent with the U.S. Constitutional authority: "To promote the Progress of Science and useful Arts, by securing for limited Times to Authors and Inventors the exclusive Right to their respective Writings and Discoveries." To promote progress in science and useful arts may require setting limits on exclusive rights that do not promote progress, such as the right to prevent the use of creative works for learning. See, e.g., L. RAY PATTERSON & STANLEY LINDBERG, *THE NATURE OF COPYRIGHT: A LAW OF USER RIGHTS* (1991).

³³ See, e.g., Jane C. Ginsburg, *Putting Cars on the "Information Superhighway": Authors, Exploiters and Copyright in Cyberspace*, 95 COLUM. L. REV. 1466 (1995).

In recent years, interest in users of copyrighted materials has grown. The literature increasingly centers on the *recipients* of copyrighted works.³⁴ Scholars stress the significance of use of copyrighted materials for protecting freedom of speech³⁵ or securing consumer sovereignty.³⁶ Others attempt to articulate users' interests within the framework of copyright law.³⁷

This chapter seeks to add to this literature by offering a framework for understanding the role of users in promoting copyright goals, and demonstrating how this analysis could inform the scope of fair use. I argue that use is a fundamental part of any creative process and therefore it must be an integral part of any copyright policy. Drawing on the role of users in achieving copyright goals, I seek to identify the interests of users wherein protection under copyright law is deemed to achieve its intended purposes. 14.

A focus on the role of users in the creative ecosystem may help us better understand the necessary conditions under which various players, including users, may advance or impede copyright goals. These conditions could be manifested in part as exceptions and limitations of copyright, and they may also have implications for other copyright doctrines. For instance, an understanding of a user's role in achieving copyright goals could shape the definition of copyright subject matter (e.g., the idea/expression dichotomy), or the scope of copyright exclusive rights.

5.3.2. *The Virtues of Using Creative Works*

The view of copyright as a legal regime seeking to stimulate creativity for the benefit of the public entails a balance between two public interests: encouraging creativity and encouraging wide dissemination of copyrighted materials as the ultimate goal of copyright law.³⁸ The focus on user rights brings these two interests together: encouraging creativity by, *inter alia*, encouraging the use of creative works.

³⁴ See, e.g., David Vaver, *Nimmer on Copyright Commemorative Essay: Copyright Defenses as User Rights*, J. COPYRIGHT SOC'Y (2013); Litman, *Readers' Copyright*, *supra* note 31; LESSIG, *supra* note 2; Pamela Samuelson, *Challenges in Mapping the Public Domain*, in THE FUTURE OF THE PUBLIC DOMAIN: IDENTIFYING THE COMMONS IN INFORMATION LAW (L. Guibault and P. Hugenholtz eds., 2006); Julie E. Cohen, *The Place of the User in Copyright Law*, 74 FORDHAM L. REV. 347, 370 (2005).

³⁵ See, e.g., Tushnet, *Copy This Essay*, *supra* note 19; Malla Pollack, *A Listener's Free Speech, A Reader's Copyright*, 36 HOFSTRA L. REV. 1457 (2007).

³⁶ See, e.g., Jessica Litman, *Lawful Personal Use*, 85 TEX. L. REV. 1871 (2007); Alan L. Durham, *Consumer Modification of Copyrighted Works*, 81 IND. L.J. 851 (2006); Joseph P. Liu, *Copyright Law's Theory of the Consumer*, 44 B.C. L. REV. 397 (2003).

³⁷ See, e.g., Litman, *Readers' Copyright*, *supra* note 31; Niva Elkin-Koren, *Making Room for Consumers Under the DMCA*, 22 BERKELEY TECH. L.J. 1119–55 (2007); Julie E. Cohen, *The Place of the User in Copyright Law*, 74 FORDHAM L. REV. 347 (2005).

³⁸ See, e.g., Glynn S. Lunney, Jr., *Fair Use and Market Failure: Sony Revisited*, 82 B.U. L. REV. 975 (2002).

15. It considers users and usage as inputs into a creative process rather than recipients of outputs from creative processes. This broader understanding of the way cultural works are created and shared recognizes the dynamic, interactive, and diffused nature of creative processes. It shifts the locus of creative processes from a single act of authoring “from thin air” to an ongoing process with multiple participants.

Creating new knowledge involves human capital, engagement in preexisting materials, and sharing a cultural language. It is in all these aspects of the creative ecosystem that the *use* of creative works comes into play.

Enhancing Human Capital

One type of use of creative works which encourages creativity is use for the purpose of learning. Learning was explicitly included in the full title of the 1710 Statute of Anne: “An Act for the Encouragement of Learning, by vesting the Copies of printed Books in the Authors or Purchasers of such Copies, during the Times therein mentioned.”³⁹ Cultivating cultural progress requires learning, training, and an opportunity to absorb informational goods and interact with creative works. Advancing learning is a cornerstone of copyright policy. Copyright law recognizes the significance of learning by limiting the scope of protection to cover expressions but not ideas and including explicit exceptions for learning and teaching (i.e., fair use).

16. The use of copyrighted materials is crucial especially for learning, training, and acquiring the skills necessary to become an author.⁴⁰ Authors’ creative skills and their ability to generate new works depend, *inter alia*, on opportunities to access previous works. Exposure to the books of the past, to modern art, or to available computer programs may all become essential for writing a new novel or developing a new app. Readers of novels learn to detect and better understand other people’s emotions, a vital skill for inventing literary characters; the users of software acquire some programming skills and a better understanding of the way computer programs work. The use of creative works in this sense nurtures the human capital that may subsequently contribute to the production of additional works.

Human capital requires high-level training, good techniques and skills, but also knowledge of the current state of the art. Generating new creative output involves linking different types of content and turning information into meaningful knowledge. Creative processes often draw on creative works and knowledge inputs incurred through previous experiences. To become new authors, or develop authorship skills, users must be aware of the cultural context in which they act, for instance: existing works, classic genres, current trends, and artistic language.

³⁹ Statute of Anne, 1710, 8 Ann., c. 19.

⁴⁰ PATTERSON & LINDBERG, *supra* note 32.

Consequently, unrestricted access to copyrighted materials for the purpose of learning and teaching serves copyright goals.

Productive and Transformative Use

Another type of use that promotes creativity is the transformative use of preexisting materials. Creation is presumed to be incremental – new works are built upon previous works – and current authors' rights are balanced against those of future authors. Authors are often users of preexisting materials. Creative processes involve an ongoing interaction with the cultural tradition and its dynamic present. Creative works are often the primary resource for further creation. Software developers build on existing programs and apps; artists refer to other works, borrow symbols, metaphors, and characters, and often quote other works. Productive users, who transform preexisting works by adding something original to preexisting materials, often become authors of a new derivative work.

The incremental nature of the creative process has long been recognized by copyright law, and reflected in copyright doctrines such as the low threshold of originality or the exemption of transformative use.⁴¹ The law presumes that authors do not create “out of thin air,” but in fact all authors are users of preexisting materials.⁴² Here too, the balance between different authors, during the lifetime and evolution of a creative work, is implemented by various doctrines, such as the idea/expression dichotomy or fair use.

8 With the rise of UGC, users' freedom to use copyrighted materials without seeking a license has become even more crucial for achieving copyright goals.

Generating Meaning

The role of users in creative processes is not limited, however, to transformative use of preexisting materials. The use of creative works also promotes creativity by generating a shared cultural language.⁴³ In fact, the bulk of users' contribution to advance the goals of copyright law is made through nontransformative uses.⁴⁴

A better metaphor for creative processes is *interactive flow*, which generates meaning. The view of creative processes as flow depicts the dynamic nature of such

⁴¹ See Leval, *supra* note 1. Abraham Drassinower suggested that the centrality of user rights derives from the notion of authorship which is fundamental to copyright law. Drassinower perceives authors as users: “authors are not only producers or creators but simultaneously users of other pre-existing materials.” Abraham Drassinower, *Taking User Rights Seriously*, in IN THE PUBLIC INTEREST: THE FUTURE OF CANADIAN COPYRIGHT LAW 462–79 (Michael Geist ed., 2005).

⁴² PATTERSON & LINDBERG, *supra* note 32; Drassinower, *supra* note 41.

⁴³ ROSEMARY J. COOMBE, *THE CULTURAL LIFE OF INTELLECTUAL PROPERTY: AUTHORSHIP, APPROPRIATION AND THE LAW* (1998); Niva Elkin-Koren, *Cyberlaw and Social Change: A Democratic Approach to Copyright Law in Cyberspace*, 14 CARDOZO ARTS & ENT. L.J. 215 (1996).

⁴⁴ Rebecca Tushnet, *Copy This Essay*, *supra* note 19, at 535, 556 (“nontransformative uses” could be a form of self-expression, persuasion, participation and affirmation).

processes where meaning occurs through interaction among human beings, using and developing a shared cultural language. Culture is a language which enables interaction and engagement with other people, objects, and nature. We use words, as well as musical notation, poems, and symbolic artifacts to communicate a message, and to understand one another as well as ourselves and to comprehend the world.

Reading books and newspapers, listening to music, and watching films, are not simply consumptive behaviors.⁴⁵ They are all creative practices which involve an interactive exchange of meaning. As Julie Cohen suggests, creative practices are diffused, interactive, relational, and carried out by users *through the use* of artifacts.⁴⁶ In this model of creativity, everyone is a “*user first* and a creator second.”⁴⁷ The act of reading a book (or watching a film for that matter) engages the reader in a conversation with the text: a mutual productive experience of generating new meaning. These processes of generating meaning are part of a continuum: They are carried out not only by authors, but also through the use of cultural works. Authors share a symbiotic purpose with users of their works who engage in listening to, reading, or performing their works. Cultural practices therefore do not simply diffuse or exploit cultural works; they occur through engagement with cultural artifacts, which shapes their meaning.⁴⁸

5.3.3. A Rationale for User Rights

The inquiry into user function in creative processes reveals a whole range of activities, including generating new derivative works but also absorbing, learning, and disseminating new knowledge. This suggests that users are not simply passive recipients of creative works but constitute an input in the creative process. Copyright law, which seeks to promote creative process, should therefore address the rights of both authors and users.

A view of the creative ecosystem as an interactive cultural flow may carry some implications for copyright policy. To encourage creativity, copyright law must focus on the ability of authors to benefit *ex-post*, but also on their ability *ex-ante* to access

⁴⁵ But see Jane C. Ginsburg, *Authors and Users in Copyright*, 45 J. COPYRIGHT SOC'Y 1 (1997).

⁴⁶ Julie Cohen describes creative practices as situated in a particular cultural context and carried out by users *through the use* of artifacts. Culture, she argues, is a process of engagement by individuals with cultural artifacts, negotiation of cultural pathways and the shaping of culture “through interactions between situated users, taste-making institutions, and social groups.” See JULIE E. COHEN, *CONFIGURING THE NETWORKED SELF: LAW, CODE, AND THE PLAY OF EVERYDAY PRACTICE* 69–70, 84–88 (2012).

⁴⁷ *Id.* at 66. See, e.g., Cohen, *supra* note 37. Cohen proposes the notion of a *situated user*, who “engages cultural goods and artifacts found within the context of her culture through a variety of activities ranging from consumption to creative play.” The situated user, she argues, appropriates cultural goods for four primary purposes: *consumption, communication, self-development* and *creative play*.

⁴⁸ Niva Elkin-Koren, *Making Room for Consumers under the DMCA*, 22 BERKELEY TECH. L.J. 1119 (2007).

and use preexisting materials, acquire new skills, learn new techniques, be exposed to the cultural flow, and be inspired by new ideas. All these are necessary to stimulate new creation no less than establishing exclusive rights.

Users' freedom to use creative works may affect their ability to participate in the creative process. As suggested by Pamela Samuelson, limitations on the rights of copyright owners are necessary "to aid education, cultural participation, the creation of new works and the development of new forms of creative output."⁴⁹ Therefore, permissible uses are not simply odd exceptions, describing peculiar circumstances where the governing rule fails to apply, but important mechanisms for achieving copyright goals.

Moreover, to promote creativity, copyright law should focus on authors and users alike, as both are actively engaged in generating culture. This view assumes that two strategies are equally important in order to promote the goals of copyright law and maintain a proper balance between authors and users: ownership by authors and sufficient access by users. From this perspective, incentives to authors provide only one means of promoting creativity, while other, equally important mechanisms focus on securing adequate rights for users. In other words, authors' rights in their creative works (for incentives or just reward) and users' rights to use them (e.g., read, learn, disseminate, reuse, and transform) are different mechanisms for promoting copyright goals. This analysis suggests that copyright law is not confined merely to designing a proprietary regime in informational works: it also designs a regime where some uses fall beyond the scope of ownership and could be used without a license. This is the rationale of user rights.

19.

5.3.4. *What Rights Do Users Need?*

What rights are necessary to enable users to participate in generating culture? There is no exhaustive list of user rights that can serve for reference. As a start, user rights may include the current list of L&E, which in part reflects some essential interests of users.⁵⁰ However, considering the role of users in applying L&E may reverse the direction of the inquiry: Rather than seeking to extract the overarching principles informing existing L&E, we should explore which uses are desirable to promote copyright goals and which actions should be permitted without a license.

Permissible uses may cover a wide array of aspects related to their role in the creative ecosystem. These rights may typically involve freedom to use creative works and knowledge resources for learning and teaching, freedom to create and develop,

⁴⁹ See Pamela Samuelson and Members of the Copyright Principles Project, *The Copyright Principles Project: Directions for Reform*, 25 BERKELEY TECH. L.J. 1175, (2010).

⁵⁰ *Id.*

and freedom to access and use. User rights might also be linked to a wide array of rights and privileges, such as consumer sovereignty, freedom of information, and freedom of expression.⁵¹

Obviously, not every action which contributes to user participation in creative processes should automatically gain protection as a user right. Balancing the rights of different players in the creative process may involve additional consideration, such as whether it is personal or commercial, whether it communicative or competing. Yet, the interest in promoting some uses should be considered and balanced against those of rightholders when courts are called to draw the boundaries of copyright protection under flexible norms such as fair use, or when legislators are considering new rights and new exemptions under copyright law.

Further understanding of the users' role in advancing the objectives of copyright law could help identify the conditions necessary to enable them to promote copyright goals.

Authoring

Copyright policy has long emphasized the importance of creative (transformative) use of preexisting works to achieve copyright goals. If the intended purpose of copyright is to promote the creation of works, the use of preexisting materials to create a new expression should be encouraged.

Copyright law creates serious impediments to creative use by user-authors, especially for UGC which is often generated by amateurs, in the margins of the commercial model facilitated by copyright law.⁵² The need to acquire a license prior to each and every use of copyrighted materials could make it prohibitively expensive for individual users to make use of preexisting works. As previously noted, users often lack the legal expertise and necessary funding to determine which license is necessary, identify the different copyright owners, negotiate a license to use the work, and pay the license fee. The high costs involved in licensing are often greater than the anticipated benefits from the work, especially where amateurs are concerned and no commercial exploitation is expected.

Simply avoiding copyright infringement becomes a major challenge for amateur creators. Indeed, fair use permits some unlicensed transformative uses.

⁵¹ Scholars have listed several examples of such rights, such as personal use (Litman, *Lawful Personal Use*, *supra* note 36), learning and educational use (Elkin-Koren & Fishman-Afori, *infra* note 108), breathing space for creation by user-authors (COHEN, *CONFIGURING THE NETWORKED SELF*, *supra* note 46), rights necessary for free speech and a participatory citizenry (Tushnet, *Copy This Essay*, *supra* note 19; NETANEL, *COPYRIGHT'S PARADOX*, *supra* note 20).

⁵² See, e.g., LESSIG, *supra* note 2; Diane Leenheer Zimmerman, *Living Without Copyright in a Digital World*, 70 ALBANY L. REV. 1375, 1376–77 (2007).

Transformative use is considered a cornerstone of fair use, and was widely recognized by courts and legislators, in both artistic⁵³ and technological contexts.⁵⁴ Yet fair use provisions are rather vague and indeterminate, creating a high risk of liability. The uncertainty as to permissible uses and the risk of liability may impede some uses, which are otherwise legitimate.

To encourage users' authorship, user rights should enable *productive use* of copyrighted materials, building on existing works to create a new creative content, putting works to new use, or adapting content for ongoing needs.⁵⁵ Such rights may cover the adaptation of digital content for personal use and the remixing of digital content for self-expression and noncommercial purposes.

Users' rights should foster more certainty by adding specific rights apart from fair use. An example is the newly introduced *Non-commercial User-generated Content* exception to copyright infringement under Canadian copyright law.⁵⁶ This provision explicitly permits individual users to use copyrighted materials in the creation of a new work for noncommercial purposes without authorization of the copyright owner.⁵⁷

⁵³ See, e.g., *Campbell v. Acuff-Rose Music, Inc.*, 510 U.S. 569 (1994).

⁵⁴ See, e.g., *Perfect 10, Inc. v. Amazon.com*, 508 F.3d 1146 (9th Cir. 2007); *Authors Guild, Inc. v. HathiTrust*, 755 F.3d 87 (2d Cir. 2014).

⁵⁵ A related issue is interoperability. Interoperability can directly affect creativity and innovation. It enables experimentation and the creation of new content by using different sources. Restrictions on interoperability, either by design or license, may compromise users' ability to put their content to its most efficient use or generate new content.

⁵⁶ Canada *Copyright Act*, R.S.C. 1985, c. C-42 CCA, s. 29.21. [(29.21 (1) It is not an infringement of copyright for an individual to use an existing work or other subject-matter or copy of one, which has been published or otherwise made available to the public, in the creation of a new work or other subject-matter in which copyright subsists and for the individual – or, with the individual's authorization, a member of their household – to use the new work or other subject-matter or to authorize an intermediary to disseminate it, if

- (a) the use of, or the authorization to disseminate, the new work or other subject-matter is done solely for noncommercial purposes;
- (b) the source – and, if given in the source, the name of the author, performer, maker or broadcaster – of the existing work or other subject-matter or copy of it are mentioned, if it is reasonable in the circumstances to do so;
- (c) the individual had reasonable grounds to believe that the existing work or other subject-matter or copy of it, as the case may be, was not infringing copyright; and
- (d) the use of, or the authorization to disseminate, the new work or other subject-matter does not have a substantial adverse effect, financial or otherwise, on the exploitation or potential exploitation of the existing work or other subject-matter – or copy of it – or on an existing or potential market for it, including that the new work or other subject-matter is not a substitute for the existing one.]

⁵⁷ Peter Yu, *Can the Canadian UGC Exception Be Transplanted Abroad?*, 26 INTELL. PROP. J. 177–205 (2014).

Learning

The role of learning in promoting copyright goals highlights the importance of *educational use*. This includes self-learning, exploring, absorbing, tinkering, and interacting with creative works. It also includes use for teaching and training.

20 Educational use requires that access to learning materials remains affordable and that licensing fees do not hinder learning. Copyright law places several impediments for educational use. The most obvious reason is that publishers are granted a monopoly power to determine the price. High fees, however, are not the only obstacle to the use of copyrighted materials for educational purposes. Difficulties in acquiring a license for each particular use often create serious barriers to efficient use, and in some cases may eradicate the use altogether. The effort involved in identifying the relevant rightholders and negotiating a license may be prohibitive. High transaction costs may cause teachers or educational institutions to refrain from making materials available to their students for the purpose of learning, even though such use may promote copyright goals.

Facilitating education use may require consideration of some distinctive characteristics of learning, which often involve players who are not motivated by profits. First, learning often requires the assistance of teachers, guides, and educators, to facilitate materials and offer input and guidance on selecting materials, navigating knowledge, explaining, and interpreting. Incentives for learning should therefore address not only the students or end-users but also their teachers.⁵⁸ Second, many learning activities proceed through educational and learning institutions, such as schools, colleges, universities, and libraries, which are often nonprofit. Consequently, user rights may extend to these cultural institutions that facilitate learning. Third, while public interest in promoting learning is strong, a gap often exists between the public welfare and the interest of the individual teachers and institutions that facilitate learning. While these facilitators will presumably strive to invest optimal resources to enable learning, the effect of resources on learning is often difficult to measure, and the incentives of teachers and schools to offer optimal access to educational resources might be suboptimal.

Another impediment to use might be the high level of unpredictability. For instance, the high level of uncertainty regarding the scope of permissible use for educational purposes under fair use might have a strong chilling effect on making materials available to students for the purpose of teaching and learning. Educational institutions, which are often risk-averse, might obtain a license even when such a license is unwarranted, and avoid any unlicensed use for fear that courts would not

⁵⁸ The Supreme Court of Canada explicitly recognized this distinct characteristic of education, holding in *Alberta (Education)* that teachers share a symbiotic purpose with students who engage in private study. See *Alberta (Education) v. Canadian Copyright Licensing Agency*, 2012 S.C.C. 37.

find it fair. University professors cannot be expected to undertake a sophisticated analysis of fair use for each particular item to be included in their reading materials. Librarians cannot apply the fair use provisions to the thousands of reading items they are required to handle every semester. The only choice left to a university is to acquire a license for uses that are actually fair (therefore free) or to compromise their educational mission by refraining from making any materials available to their students throughout the educational process.⁵⁹ A vicious cycle arises: The more users seek permission for what is presumably fair use, the more others perceive such uses as nonfair; consequently, more people seek permission where such permission is in fact unnecessary. This results in a Clearance Culture, where every use is assumed to require a license.⁶⁰

Consequently, user rights should give priority to enhancing predictability and lowering the cost of accessing creative works that are necessary to enable learning. Special attention should be given to measures that could lower transaction costs of acquiring licenses and promote certainty in educational use, thereby encouraging teachers and schools to facilitate educational use.

Educational use may also require some room for spontaneous use of copyrighted materials for educational purposes, to enable teachers to respond to matters in good time, without having to clear the rights months prior to the beginning of classes. The significance of spontaneous use arises, as open textbooks create new opportunities for learning communities to engage in preparing educational materials on an enduring basis, and enable etextbook users to access, use, copy, remix, and further adapt the works to their dynamic needs.

⁵⁹ The recent decision in the case of *Cambridge University Press v. Becker* demonstrates this deadlock. Several major academic publishers filed a lawsuit against Georgia State University (GSU), claiming that the university was responsible for infringing their copyrighted books in its electronic course reserve (e-reserve) system. GSU relied on its 2009 Copyright Policy which required each law professor to complete a "fair use checklist," determining whether each item included in the reading list was fair use. The court examined whether this contributed to infringements by professors who had uploaded materials to the e-reserve system. In an opinion exceeding three hundred pages, the district court analyzed each of the sampled ninety-nine instances of infringement claimed by the plaintiffs and held that copied excerpts did not qualify as fair use in only five instances. Indeed, the court praised GSU for adopting a fair use policy, admitting that "fair use principles are notoriously difficult to apply." Nevertheless, the court held that fair use is facts-intensive and specific to each individual case, and consequently held GSU liable for copyright infringement. *Cambridge Univ. Press v. Becker*, 863 F. Supp. 2d 1190 (N.D. Ga. 2012). The Court of Appeals for the Eleventh Circuit went even further in fostering the "case-by-case" approach, thus leaving university professors, librarians, and staff with very little guidance on what amounts to fair use for educational purposes. *Cambridge Univ. Press v. Patton*, 769 F.3d 1232 (11th Cir. 2014).

⁶⁰ PATRICIA AUFDERHEIDE & PETER JASZI, UNTOLD STORIES: CREATIVE CONSEQUENCES OF THE RIGHTS CLEARANCE CULTURE FOR DOCUMENTARY FILMMAKERS 17–19 (2004); James Gibson, *Risk Aversion and Rights Accretion in Intellectual Property Law*, 116 YALE L.J. 882, 895–98 (2007).

Learning often involves more than simple access to copyrighted materials. It may also entail interaction with copyrighted works, which involves some changes and modifications. Therefore, educational use should also include freedom to explore, tinker with, transform, and edit materials before making them available to students.

Finally, learning and teaching may also require some assurances of intellectual privacy. Freedom from ongoing monitoring is necessary to protect the intimacy and private nature of the educational experience that is essential for meaningful learning. Intellectual privacy is also important for maintaining academic freedom. Thus, monitoring the use of copyrighted materials for the purpose of collecting royalties may compromise this freedom.⁶¹

Participating

While the need to permit transformative use by potential authors is widely acknowledged in copyright doctrine, the nontransformative aspects of use have been less explored.

Non-commercial access and use of cultural works is essential for promoting the use of cultural works. Freedom to access books of diverse origin and perspective pertains to fundamental liberties such as freedom of expression, intellectual freedom, and privacy. Access to copyrighted materials is essential in order to exercise citizenship in the twenty-first century. As information becomes crucial to every aspect of everyday life, access to information may affect one's ability to participate in modern life as an independent, autonomous human being. For instance, some free access to academic publications is necessary in order to facilitate the monitoring and review of scientific research; however, it also enables people to read about potential treatments for their personal health problems, and civil society (NGOs, bloggers) to engage in public debate regarding health policy. Free – as in open – access to books, newspapers, and journals on a nondiscriminatory basis was once offered by libraries, but with the shift to cloud services public libraries may no longer guarantee sufficient public access.

Intellectual privacy also arises from the role of users as active participants in creating culture.⁶² Digital distribution often involves built-in surveillance. When music or apps are downloaded to a smartphone, or an eBook is downloaded to an e-Reader such as Kindle, rightholders may collect and retain detailed information about users, their reading habits and intellectual preferences. This may turn the

⁶¹ For instance, the plaintiff in the Georgia State University case asked to receive access to the e-Reserve system and to the original records on the use and during a period of three years in order to monitor use for the purpose of collecting royalties. See *Cambridge Univ. Press v. Patton*, 769 F.3d 1232 (11th Cir. 2014).

⁶² Neil Richards, *Intellectual Privacy*, 87 TEXAS L. REV. 387 (2008).

reading experience, which used to be intimate and private, into public knowledge.

21. Enabling users to freely participate in cultural discourse may require access without surveillance. This is not simply a matter of privacy but may also affect the ability of user-authors to participate actively in the creative process by generating and disseminating cultural works. Fear of monitoring may create a chilling effect, causing users to refrain from seeking specific knowledge resources or reading particular materials for fear of their interests being monitored and recorded. A recent survey among fiction and nonfiction writers in fifty countries found that writers were deeply concerned with surveillance, with a large percentage reporting self-censorship resulting in avoiding controversial topics in their work or in their personal communications.⁶³ Aside from the possible chilling effect of surveillance on reading and writing, it may also threaten independent thinking by penetrating the intimacy of reading. To promote creativity, copyright law should encourage freedom to explore any cultural, religious, professional, political, or other type of resource, without the knowledge of third parties.

Perpetual access to personal copies of creative works is another issue.⁶⁴ As consumers, users may be entitled to use a purchased copy on any of their devices and make copies for their own personal use.⁶⁵ However, copyrighted works are increasingly offered as a service (e.g., subscription, streaming). The courts' interpretation of exclusive rights (reproduction, distribution) tends to strengthen the view that digital copies are not owned by their users and cannot be sold without the permission of the copyright owner.⁶⁶ Moreover, even if users were considered owners of a particular copy, there is no guarantee that a right to perpetual use would be enforced. The consumer protection perspective is likely to be too narrow to secure a right of perpetual use in creative materials. The reason is that consumer protection laws generally focus on consumer expectations.⁶⁷ Consequently, if no warranties were made in the original license regarding a permanent right to access the materials, or alternatively an appropriate notice was given prior to the termination of access, consumer protection laws may not be an effective remedy.

24. From a user-rights perspective, a right to secure continued access to knowledge resources is essential for users' participation in cultural processes. The reason is that cultural works often incorporate users' identity and input. A right to access copies that one has read (news stories, books, films, music), might be necessary to protect one's autonomy. Such works often become part of one's identity and a point

⁶³ See PEN AMERICAN CENTER, GLOBAL CHILLING: THE IMPACT OF MASS SURVEILLANCE ON INTERNATIONAL WRITERS (Jan. 5, 2015), available at <http://pen.org/global-chill>

⁶⁴ Litman, *Lawful Personal Use*, *supra* note 36, at 1878.

⁶⁵ See Cohen, *supra* note 37; Liu, *supra* note 36; Durham, *supra* note 36; Litman, *supra* note 36.

⁶⁶ See *supra* notes 5–8 and accompanying text.

⁶⁷ Elkin-Koren, *Making Room for Consumers*, *supra* note 37.

of reference for defining one's taste and preferences. Copies of works that have been read or watched by users are often used for manifesting an identity or expressing a political statement.

With the shift to cloud computing, users lose control over their data and applications as they are all stored in remote facilities and subject to the terms and condition of an online provider. The shift to cloud computing and streaming services puts users at a disadvantage. Users become completely dependent on access providers, and access to works could be terminated at any time.⁶⁸ In such circumstances, recognizing a right to perpetual use becomes ever more important. This does not necessarily mean that users should own copies of works. Yet, some minimal guarantees of perpetual access to the original work must be secured for users. Also, users may need to exercise some freedom in using creative works with additional works (their own or others), such as attaching pictures, linking to text or playing music for personal use.

5.4. USING RIGHTS TO PROMOTE DESIRABLE USES

22.

The previous discussion suggested that to promote creation, copyright law should focus on authors and users alike as both are actively engaged in generating culture. This view assumes that two strategies are equally important in order to promote the goals of copyright law and maintain a proper balance between authors and users: ownership by authors and sufficient access by users. Assuming that some unlicensed uses should be promoted by law, what is the best way to achieve it? How should the law protect users' interests and secure a desirable level of unlicensed use? Is it sufficient to afford users a legal defense in some circumstances, or is it necessary to recognize a right to make permissible uses?

5.4.1. *The Rise of the Rights Discourse*

In recent years several commentators have suggested that permissible uses, such as fair dealing or fair use, should be treated as user rights.⁶⁹ About two decades ago, Ray Patterson and Stanley Lindberg coined the term "users' rights" in their seminal work *The Nature of Copyright: A Law of Users' Rights*. Patterson and Lindberg argued that the constitutional purpose of copyright law, to promote the progress of knowledge, mandates that copyright law should not simply focus on authors, but also on users

23.

⁶⁸ See *supra* notes 5–16 and accompanying text.

⁶⁹ See Vaver, *supra* note 34. See also Hugh Breakey advocating the general applicability of rights language to describe user rights under copyright. Hugh Breakey, *User's Rights and the Public Domain*, 3 INTELL. PROP. Q. 312–23 (2010).

who are learning, absorbing, and disseminating knowledge.⁷⁰ More recently, Jessica Litman argued that copyright law secures readers' rights, or at the very least readers' liberties.⁷¹

In Canada, David Vaver has argued that the framing of permissible uses as rights is necessary in order to achieve a more balanced law, as no symmetry exists between authors' exclusive rights and users' narrow defenses. If copyright is to be understood as creating a reasonable balance between authors and users, it needs to be a balance between like and like, not between authors' rights and the public's privileges.⁷² Taking an authorship-centered perspective Abraham Drassinower argues that copyright law should not be understood as a prohibition on copying, but instead as "an institutionalized distinction between permissible and impermissible copying."⁷³ Viewed from this perspective, copyright is a legal regime concerned with authorship, which applies both to authors and users.

Over the past decade courts have also addressed the legal status of L&Es. The Supreme Court of Canada was the first to explicitly address the issue in *CCH Canadian Ltd. v. Law Society of Upper Canada*. The Court held that the fair dealing exception, as well as the other exceptions in the Canadian Copyright Act, should be understood as "user rights."⁷⁴ Recently, in a series of precedential copyright decisions in 2012, the Canadian Court reaffirmed the user-rights approach to L&E.⁷⁵ Citing with approval Professor David Vaver, the Canadian Supreme Court explained: "User rights are not just loopholes. Both owner rights and user rights should therefore be given the fair and balanced reading that befits remedial legislation."⁷⁶

Those precedential decisions shift from a legal-defense approach to a user-rights approach to fair dealing. From this perspective, "user rights" are an integral concept in copyright law, and should be equally treated as the rights of authors. L&E do not simply represent a legal defense which only excuses a particular user from liability in certain circumstance, in what would otherwise constitute a copyright infringement. Instead, fair dealing, or fair use for that matter, should be interpreted as a right which is deemed necessary in order to achieve the goals that copyright law is designed to promote.

⁷⁰ PATTERSON & LINDBERG, *supra* note 32.

⁷¹ Jessica Litman, Reader's Copyright, *supra* note 31 (2011).

⁷² See Vaver, *supra* note 34; Drassinower, *supra* note 41, at 462–79.

⁷³ See Drassinower, *supra* note 41, at 462–79.

⁷⁴ *CCH Canadian Ltd. v. Law Society of Upper Canada*, 2004 S.C.C. 13 [2004] 1 S.C.R. 339 (Can.).

⁷⁵ *Society of Composers, Authors and Music Publishers of Canada (SOCAN) v. Bell Canada*, 2012 S.C.C. 36, [2012] 2 S.C.R. 326 (Can.); *Alberta (Education) v. Canadian Copyright Licensing Agency, (Access Copyright)*, 2012 SCC 37, 2 S.C.R. 345 (Can.).

⁷⁶ See *CCH v. Law Society*, *supra* note 74, para. 48.

In Israel, which only recently introduced fair use into its new 2007 Copyright Act, the issue of user rights has already been tackled by the Israeli Supreme Court. Initially, in 2012 the Court explicitly rejected the position that fair use is a user right. The case, *Football Ass'n Premier League Ltd. v. Anonymous* (2012),⁷⁷ involved a petition to unmask the identity of an anonymous user who streamed unauthorized broadcasts of football matches owned by the English Premier League. Although the petition was dismissed on procedural grounds, the Court held that streaming constituted copyright infringement and fair use did not apply. Explicitly rejecting the user-rights approach, the Israeli Supreme Court explained that fair use should be understood as simply a legal defense.

Soon after, in *Telran Communications (1986) Ltd. v. Charlton Ltd.* (2013),⁷⁸ the Israeli Supreme Court questioned this approach. The case involved the legality of marketing decoding cards which enabled Israeli customers to decode the encoded broadcasts of the World Cup games, which were transmitted by foreign channels via satellite. The Court held that merely distributing the decoding cards did not amount to a copyright infringement, nor was it a contributory infringement, since simply watching copyrighted materials did not constitute a copyright infringement. The Court explicitly rejected the *defense* approach to fair use held by the Premier League Court, noting that fair use is not merely a technical defense for copyright infringement but a permissible use. Consequently, even if users of the decoding cards were making unauthorized copies, which were nevertheless considered fair use, there was no ground for holding the defendant liable for contributory infringement. According to Justice Zilbertal, users who exercise user rights do not commit an infringing act which is excused, but instead they act in a manner that is explicitly permissible by law, and therefore there is no infringement to begin with. Consequently, "when no infringement materializes, there is no infringement to 'contribute' to."^{26.} Hence, since the end-users carried out a permissible act, the middleman 'contributed' to a permissible act – and in any event did not infringe any rights of the copyright owner, since these rights have not been violated in the first place.⁷⁹

A few weeks later, in the case of *Safecom v. Raviv* (2013),⁸⁰ the Israeli Supreme Court reaffirmed this approach. The decision addressed the copying of drawings of a functional electric device in a patent application submitted to the USPTO. The Court cited with agreement the user-rights approach upheld in *Telran* and noted the judicial controversy on this issue, commenting that the time was ripe for an extended judicial panel consideration of this matter.

⁷⁷ CA 9183/09 *Football Ass'n Premier League Ltd. v. Anonymous* (2012) (Isr.).

⁷⁸ CA 5097/11 *Telran Commc'ns (1986) Ltd. v. Charlton Ltd.* (2013) (Isr.).

⁷⁹ *Id.*

⁸⁰ CA 7996/11 *Safecom Ltd. v. Ofer Raviv* (2013) (Isr.).

The rise of user-rights discourse in recent decisions in Canada and Israel suggests that the legal status of L&Es might have far-reaching legal consequences. Such legal implications are further discussed in Section 5.5.

5.4.2. *The Formalistic Analysis of Rights*

Although L&E are frequently invoked in court, they only rarely trigger a serious analysis of their legal nature. Courts and commentators often refer to “user rights” as an all-encompassing category, loosely describing the public domain, exceptions and limitations and other permissible uses.⁸¹ They have also used the term *user rights* without fully developing the legal implications of framing permissible uses as rights.⁸²

One way to gain a better understanding of user rights is by mapping copyright entitlements and their corresponding duties. A classic view of copyright often describes the jural relations between owners and users within the matrix proposed by Wesley Hohfeld.⁸³ Copyright is generally understood as a bundle of “rights-to-exclude” enumerated uses. This approach entails the view that potential users are under a duty to refrain from any use which contradicts the exclusive rights and has not been authorized by the copyright owner. The view of copyright as a “right to exclude” assumes that the copyright owner is vested with a set of exclusive rights over the use of her copyrighted work. These rights impose correlative, *in rem*, duties on everyone else to refrain from any unauthorized use within the scope of the rights.⁸⁴ Put simply, a duty-holder must refrain from using the rights exclusively vested in the copyright owner, or else be subject to remedies.

This formalistic approach defines copyright in terms of rights accorded to right-holders and their correlative duties. Portraying the relationship between copyright owners and potential users of their copyrighted works in Hohfeldian terms demonstrates some of the conceptual difficulties arising from the view of “fair use” as

⁸¹ For a critical review of these approaches, see Edward Samuels, *The Public Domain in Copyright Law*, 41 J. COPYRIGHT SOC'Y U.S.A. 137 (1993).

⁸² There are a few exceptions, see Breakey, *supra* note 69; Vaver, *supra* note 34.

⁸³ In his seminal article Wesley Newcomb Hohfeld analyzes the various types of jural relations within a scheme of rights and correlative duties. See Wesley Newcomb Hohfeld, *Some Fundamental Legal Conceptions as Applied in Judicial Reasoning*, 23 YALE L.J. 16, 30–32 (1913).

⁸⁴ See Shyamkrishna Balganesh, *The Obligatory Structure of Copyright Law: Unbundling the Wrong of Copying*, 125 HARVARD L. REV. 1664, 1670 (2012) (arguing that copyright achieves exclusion by forbidding all others from copying the expression – creating a “duty not to copy.”). Balganesh draws a distinction between the rights under property law, which “actively enables the exclusive use of the *res* and operates within the domain of positive liberty” and rights under copyright, which *disable* “others from copying the expression and operates as a form of negative liberty.” This is based on a distinction between negative freedom, namely, *freedom from* interference, and positive freedom, *freedom to* “which involves the affirmative *conferral* of the ability to undertake an action.”

a *limitation* and the advantages of articulating fair use as user rights. This point is further discussed in the next section.

5.4.3. *Is Fair Use an Affirmative Defense?*

In the few occasions where the legal status of fair use was mentioned by the U.S. Supreme Court, it was in the context of procedural burden, holding that since fair use is an affirmative defense the burden of proof in demonstrating that it applies lies with the defendant.⁸⁵

The view of fair use as an affirmative defense assumes that copyright law grants authors absolute property rights within the scope of their exclusive rights, though in some circumstances it may excuse the behavior of a particular user and will not impose liability for what otherwise might still be an infringing behavior.⁸⁶

The defense approach to fair use raises several difficulties. One issue is conceptual, in that the notion of a legal defense presupposes the existence of a legal duty. Fair use sets limits on the exclusive rights of rightholders, thereby creating a legal space where, at a minimum, nonowners are not subject to any duty. Thus in this context the copyright held by rightholders is limited by the circumstances that fall under fair use, and in such circumstances *no duty* befalls the user to avoid unauthorized use. This analysis suggests that fair use, closely examined, cannot be described as merely a *legal defense*.⁸⁷ One does not need to assert a legal defense if one is not under a duty to act in a particular way or avoid a particular action. Whether a nonowner is under a *duty* to refrain from making particular use of a copyrighted work depends on whether such use falls under *fair use* or any other permissible use defined by law. In fair use circumstances, a user is free to exercise fair use, and under no duty whatsoever to avoid such use. Obviously, a user is under no duty to make limited use of copyrighted materials for parody, nor is he under a duty to avoid making a parody that constitutes fair use. This analysis suggests that fair use is a legal regime where users of copyrighted materials are subject to no-duty, or in Hohfeldian terms, nonowners have a *privilege* or, as later described by several commentators, a *liberty*.⁸⁸

Another reason to question the narrow view of fair use as a legal defense is normative. Conceiving of fair use as a legal defense neglects the central role of

⁸⁵ See *Harper & Row, Publishers, Inc. v. Nation Enters.*, 471 US 539, 561 (1985); *Campbell v. Acuff-Rose Music, Inc.*, 510 US 579, at 590 (1994); *Cambridge Univ. Press v. Patton*, 769 F.3d 1232 (11th Cir.2014).

⁸⁶ Balganes, for instance, argues that fair use merely offers an excuse for circumstances in which an otherwise infringing act (copying) will not impose liability. See Balganes, *supra* note 84, at 1684–85.

⁸⁷ Those who believe L&E should be viewed as a legal defense, find support for this view in the fact that the burden of proof in fair use rests on the user/defendant. Yet, there are other examples of rights where the burden of proof rests with the rightholder.

⁸⁸ It has been suggested that the term “liberty” should replace the term “privilege” to better reflect the essence of the legal relations. See, e.g., Breakey, *supra* note 69.

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permissible uses in promoting copyright goals. The view of user rights as a mechanism for promoting copyright goals, that is, enhancing creativity, mandates that not only authors' rights but also users' rights are protected by copyright law. Copyright law must therefore not only secure incentives to authors, it must also promote learning, absorption, transformation, and dissemination of knowledge. From this perspective, fair use is not wrongful, albeit excusable, copying in exceptional circumstances, but rather a central measure for achieving copyright goals.

Along the same line, a third reason why fair use should not be interpreted as merely a defense arises from copyright policy. Fair use, and other L&Es, must ensure that copyright law serves its intended purpose, therefore they should encourage uses, such as fair transformative use, that foster creative activity. A use that the law seeks to promote must be permitted *ex-ante*, as a permissible use, and not simply excused *ex-post*. Recognizing permissible uses as rights also communicates a strong normative message that such uses are legitimate and should be pursued. Such a clear message of permissible uses may offer legitimacy and guidance to the public on use without the copyright holders' permission when such use is necessary to promote the intended objectives of copyright law.

Finally, the narrow view of fair use, and other L&Es for that matter, as an affirmative defense could be easily overridden by a license. Indeed, some courts have interpreted fair use as an implied license. For instance, the Court of Appeals in the *Georgia State University* case explained:

In a sense, the grant to an author of copyright in a work is predicated upon a reciprocal grant to the public by the work's author of an implied license for fair use of the work.⁸⁹

This narrow view of fair use assumes that the author implicitly authorized such uses that fall within the boundaries of fair use. Yet some rightholders may seek to limit fair use by including in a contract or a license agreement explicit restrictions on activities that would otherwise be typically considered fair use under the law. The defense approach to fair use might be insufficient to counterbalance such practices.

5.4.4. *Objections to the User-Rights Approach*

The user-rights approach may raise several objections. Focusing on the correlativity of copyright law, several commentators rejected the view that fair use, and other L&E, should be understood as user rights.⁹⁰ Accordingly, fair use cannot be treated

⁸⁹ Cambridge Univ. Press v. Patton, 769 F.3d 1232 (11th Cir. 2014).

⁹⁰ See Samuels, *supra* note 81; John Cahir, *Right or Liberty?*, in *INTELLECTUAL PROPERTY: THE MANY FACES OF THE PUBLIC DOMAIN* 35, 38 (Charlotte Wealde & Hector L. MacQueen eds., 2007).

as a right as it does not create any correlative duties on copyright owners to enable such permissible uses. This view reflects however a narrow understanding of rights. Users' rights could be protected by a wide variety of legal measures.⁹¹ At a minimum, they correlate with the duty not to interfere. In other instances, user rights may correlate with some strict duties – in which case they might be considered *rights* in the strong sense. So the issue is not whether user rights should be protected but how the law should protect these interests of users of copyrighted materials. The choice of whether to protect permissible uses as rights in the strong sense or as liberties may depend on policy, and is not necessarily driven by the intrinsic nature of the rights themselves.

Another objection to the user-rights approach is that fair use is an indeterminate standard. This legal standard is intended to enable the courts to accommodate the law to rapid social, economic, and technological developments. Since courts may exercise wide discretion in determining what is fair on a case-by-case basis, fair use cannot qualify as a right since its scope is unknown. Moreover, as a matter of policy, a user-rights approach cannot achieve its intended goals to encourage permissible uses by offering clear guidelines. Arguably, the purpose of the rights approach is to define permissible uses, *ex-ante*, as rights, thus increasing certainty and encouraging permissible use. But fair use lacks the necessary specificity to offer guidance on what might be considered permissible. It suffers from a high level of uncertainty and it is often unclear *ex-ante* whether a particular use would be considered fair. The rights discourse cannot eliminate this high level of uncertainty arising from fair use.

Certainly, fair use allows the courts a great degree of flexibility in applying the legal principles to particular circumstances. At the same time, however, fair use adjudication does generate substantive rules of conduct. Recent studies have identified some systematic patterns in courts' four-factor analysis,⁹² so some rules of practice may be extracted from existing fair use jurisprudence and provide answers to real cases.

More fundamentally, the indeterminacy of fair use does not detract from its nature as a right.⁹³ Indeed, the scope of rights accorded by law to copyright owners is also defined by a set of legal standards, such as *originality* and the *idea/expression*

⁹¹ Hohfeld describes "right" in the broad sense, to cover not only rights in the narrow sense (which correlates to a duty), but also privileges, powers, and immunities. See also David Vaver, *Copyright Defenses as User Rights*, 60 J. COPYRIGHT SOC'Y U.S.A. 661 (2013).

⁹² See, e.g., Barton Beebe, *An Empirical Study of U.S. Copyright Fair Use Opinions, 1978–2005*, 156 U. PA. L. REV. 549 (2008); Neil Netanel, *Making Sense of Fair Use*, 15 LEWIS CLARK L. REV. 715 (2011); Matthew Sag, *Predicting Fair Use*, 73 OHIO ST. L.J. 1 (2012); Pamela Samuelson, *Unbundling Fair Uses*, 77 FORDHAM L. REV. 2537, 2540 (2009).

⁹³ See also Pascale Chapdelaine, *The Ambiguous Nature of Copyright Users' Rights*, 26 INTELL. PROP. J. 1–45 (2013) (arguing that the "lack of certainty, i.e., whether certain acts fall within the scope of an exception to copyright infringement, should not be a bar per se to qualify exceptions as rights giving rise to claims").

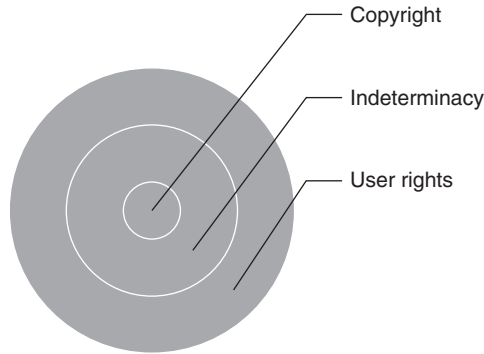


FIGURE 5.1. The scope of rights.

dichotomy. These legal standards are no less indeterminate than fair use and are also construed and applied by the courts without detracting from the characterization of copyrights as rights.

Moreover, the uncertainty associated with fair use may affect owners' and users' rights equally. Indeterminacy characterizes uses which have not been adjudicated by courts so far, and may fall inside or outside the copyright owner's sovereignty. But once a court decides that a particular use is fair, it falls within user rights and outside the boundaries of copyright (see Figure 5.1).

Finally, a plausible objection to the rights discourse may focus on power. This line of argument echoes the "critique of rights" developed by critical legal studies (CLS) theorists.⁹⁴ The critique of rights maintains that rights discourse might be less useful in promoting a progressive agenda, and may actually impede democracy and justice. CLS scholars have argued that negative liberties, which protect citizens from government interference, may offer powerful players protection from government intervention and in many cases simply release the government from any responsibility for ensuring that persons can exercise their liberties effectively (positive rights).⁹⁵

The rights discourse in copyright reflects different challenges, however. While the CLS critique of the rights discourse focuses on constitutional rights, the user rights approach in copyright applies to private law. Indeed, it is arguable that user rights, like any legal rights, could benefit the more powerful players who may enjoy better information about their rights and significant advantages in access to justice. In fact, in recent years fair use has been claimed by powerful repeat players,

⁹⁴ See generally William W. Fisher, *The Development of Modern American Legal Theory and the Judicial Interpretation of the Bill of Rights*, in *A CULTURE OF RIGHTS: THE BILL OF RIGHTS IN PHILOSOPHY, POLITICS, AND LAW* 1791 and 1991 (Michael J. Lacey & Knud Haakonssen eds., 1991).

⁹⁵ See Mark Tushnet, *An Essay on Rights*, 62 TEX. L. REV. 1363, 1392 (1984).

for example, Google and Amazon.⁹⁶ The outcome of these cases, however, facilitated more access to end users and served to promote the rights of individual users. A rights discourse in copyright could equally apply to individual users, and rights could be invoked to restrain the power of facilitating intermediaries, as further demonstrated in the following discussion in the next section. True, a user-rights approach might be blind to consideration of power, but overall, the focus on permissible uses may empower individual users and strengthen their claim for permissible unlicensed access.

5.5. LEGAL IMPLICATIONS OF USER RIGHTS

The foregoing discussion pointed to a need to secure the rights of users of copyrighted materials. I argued that users in the digital era require more freedom in order to access knowledge and participate in cultural processes, but in fact their freedom is under siege. I also argued that given these threats to users' freedom, a narrow approach to L&E may defeat copyright's intended purpose, and a user-rights approach might be necessary to encourage permissible uses and serve copyright goals. What might the legal consequences of recognizing user rights be? How is the treatment of fair use as a right likely to shape the scope of copyright and the legal relationship between owners and nonowners vis-à-vis creative works? This section addresses these questions in greater detail.

Much attention has been focused on the procedural implications of protecting user interests as an affirmative defense, considering that the burden of proof in demonstrating fair use rests on the defendant. There might be good reasons to place the burden of proof on the defendant after the plaintiff has demonstrated that her exclusive rights in the copyrighted work has been used without authorization. Yet even so, fair use might still be considered a *right*. It is often the case that claimants exercising a right must still carry the burden of proving their rights.⁹⁷ The legal implications of the user-rights approach may extend far beyond procedural consequences, however. It may affect the legal interpretation of fair use and facilitate a legal oversight of private ordering.

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5.5.1. *Legal Interpretation*

A narrow view of fair use as an affirmative defense takes the scope of copyright protection as a given, and treats fair use as the exception. It assumes that fair use could

⁹⁶ See, e.g., *Perfect 10, Inc. v. Amazon.com*, 508 F.3d 1146 (9th Cir. 2007); *Authors Guild, Inc. v. HathiTrust*, 755 F.3d 87 (2d Cir. 2014).

⁹⁷ A classic example is the right of self-defense: A person who was attacked, is free to use sufficient force to repel the attack. Notwithstanding this privilege (right in the broad sense), the defended still carries the burden to prove his allegations that he was attacked.

only excuse some behaviors in particular circumstances that would otherwise be infringing. The dominant focus on authors may permit some level of unlicensed use, only to enable would-be authors to build on the works of others.⁹⁸ Accordingly, the affirmative defense approach would tend to limit fair use to circumstances where unpaid use could be tolerated and would not extinguish the economic incentives to create that copyright law aims to offer. Potentially, there is harm in each and every unauthorized use, as it detracts from the potential benefits which could be considered part of the legitimate expectations of the copyright owner.⁹⁹

30. While an affirmative defense is likely to be given a strict interpretation, a legal interpretation inspired by user rights may give more prominence to the interests of users in applying copyright law in general, and fair use in particular.

A user-rights approach conveys a normative message that may shape legal interpretation. It expands the locus of copyright law from the confines of *author rights* to the broader sphere of creativity by addressing both authors and users.¹⁰⁰ For instance, considering the interests of users, the Supreme Court of Canada held that a library is not liable for copyright infringement for reproducing works for the purpose of research by practicing lawyers. The Court reasoned that that since fair dealing is not simply an exception but a user right, "it must not be interpreted restrictively."¹⁰¹

⁹⁸ See, e.g., *Cambridge Univ. Press v. Becker* (11th Cir. Oct. 17, 2014) ("Some unpaid use of copyrighted materials must be allowed in order to prevent copyright from functioning as a straightjacket that stifles the very creative activity it seeks to foster.")

⁹⁹ Consider for instance the analysis of the Court of Appeals in *Cambridge University Press v. Becker* (11th Cir. Oct. 17, 2014). The court failed to seriously consider the merits of educational use in promoting copyright goals, thus assuming rather narrow rights of use to the university and students. The analysis of the partial dissent is particularly telling. Judge Vinson described the switch from paper to digital as an attempt of the university to avoid legitimate fees: "In short, GSU went from paper coursepacks (for which they had 'obtained the copyright permission and paid the royalties to the publishers') to digital coursepacks (for which they did not), and they did this not because there was any real difference in the actual use but, rather, in large part to save money." *Id.* This view fails, however, to acknowledge the transformative nature of every educational use, which adds "something new" to teaching materials, by offering intellectual guidance to students in their learning process. A digital format is not "merely another way of displaying the same paginated materials as in a paper format and for the same underlying use." The shift from paper to digital may reflect an entirely different pedagogy, a truly different approach to learning and knowledge in a completely different world. It replaces the fixed selection of copies with a dynamic selection of materials that could be hyperlinked and connected to other online materials. It enables interaction with the students, developing a learning community around content, where students and other participants are expected to contribute materials to the specific course. Finally, in a digital environment of wide availability the alternative to eReserve is often not, as assumed by the court, sending students to buy the books from which excerpts were copied. Instead, professors are likely to ask students to locate the materials all by themselves, thus depriving them of educational guidance in authenticating, locating, selecting, compiling, and engaging with a community of learners in building its own knowledgebase.

¹⁰⁰ A similar approach was reflected in the decision of the Courts of Appeals in *Authors Guild, Inc. v. HathiTrust*, 755 F.3d 87 (2d Cir. 2014).

¹⁰¹ *CCH Canadian Ltd. v. Law Society of Upper Canada*, [2004] 1 S.C.R. 339, 2004 S.C.C. 13.

More recently the Canadian Supreme Court gave a liberal interpretation to fair dealing. Canadian copyright law permits fair dealing for particular purposes which are strictly enumerated by the law, including *research* and *private study*.¹⁰² In *Alberta (Education)* the Court broadly interpreted *private study* under *fair dealing* to include also copying by teachers, explaining that teachers share a symbiotic purpose with the students who engage in private study.¹⁰³

Similarly, in *SOCAN* the Canadian Supreme Court broadly interpreted *research* to include sampling during consumer research for online purchasing of music.¹⁰⁴ The Court explained:

Limiting research to creative purposes would also run counter to the ordinary meaning of “research,” which can include many activities that do not demand the establishment of new facts or conclusions. It can be piecemeal, informal, exploratory, or confirmatory. It can in fact be undertaken for no purpose except personal interest. It is true that research can be for the purpose of reaching new conclusions, but this should be seen as only one, not the primary component of the definitional framework.¹⁰⁵

In all these cases the user-rights approach focused the legal analysis on the permissible uses that copyright law seeks to promote. The focus on users further led the Court to give priority to the purpose and needs of end-users served by the defendants, rather than focusing the legal analysis on the organizations which facilitate the use (sometimes for commercial purposes).¹⁰⁶

Moving beyond an affirmative defense approach might be particularly important in the case of liability of facilitators. An affirmative defense would be determined on a case-by-case basis. Finding fair use in particular circumstances does not negate the infringing nature of the activity. Consequently, in some circumstances third parties that substantially contributed to such user activity may be held liable in contributing liability (provided there is knowledge). A user-rights approach would consider the use permissible (rather than excused), therefore no contributory liability would apply.¹⁰⁷

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¹⁰² Following the Canadian Supreme Court decisions, the law was amended in 2012 to expand the categories of fair dealing. These categories before the amendment were: research, private study, criticism review, and news reporting. The amendment added parody, satire, and education see *Bill C-11, An Act to amend the Copyright Act*, First Session, Forty-first Parliament, 60 Elizabeth II, Sep. 29, 2011.

¹⁰³ *Alberta (Education) v. Canadian Copyright Licensing Agency*, 2012 S.C.C. 37.

¹⁰⁴ In *SOCAN* the Court denied the claims of the music licensing organizations, that the use of previews to facilitate sales of music via online distribution require a license.

¹⁰⁵ See *Society of Composers, Authors and Music Publishers of Canada (SOCAN) v. Canadian Assn. of Internet Providers*, [2004] 2 S.C.R. 427, 2004 S.C.C. 45, para. 22.

¹⁰⁶ See *Alberta*, 2012 S.C.C. 37, para. 23 (holding that the teacher/copiers share a symbiotic purpose with the student/user who is engaging in research or private study); *SOCAN*, 2004 S.C.C. 45, paras. 28–30. For a similar approach in the United States, see *Authors Guild, Inc. v. HathiTrust*, 755 F.3d 87 (2d Cir. 2014).

¹⁰⁷ This approach was reflected in the analysis of the Israeli Supreme Court, see *supra* notes 78–79.

Recognizing user rights may not only affect the interpretation of exceptions. It may also influence the scope of rights. The framework of user rights may enable adjustment of the principles to new types of uses which are made possible by technological developments and the changing legal regime. A robust notion of user rights may further facilitate new modes of analysis and tease out appropriate policies to maximize the preconditions for user liberties. Articulating user rights, rather than focusing on L&E or legal defenses, may also facilitate exploring other strategies beyond L&E. User rights could also be addressed, for instance, through a limitation on remedies for good faith assertions of fair use.¹⁰⁸

5.5.2. *Legal Oversight of Private Ordering*

The user-rights approach may facilitate legal oversight of contractual restrictions on fair use applied by private ordering. It has become common practice to limit permissible uses by private ordering. Use restrictions may apply by End User License Agreements (EULA), which often include restrictions on fair use.¹⁰⁹ Online access to copyrighted works is often governed by a handful of online intermediaries. Economies of scale lead to the domination of online services by a small number of multinational mega platforms, such as Google, Amazon, Apple, and Facebook. Access is subject to Terms of Use (ToU) that often include restrictions on the use and reuse of copyrighted materials.

33. Can user rights be overridden by nonnegotiated standard contracts such as EULA and ToU? User rights could offer a framework for reviewing such restraints and identifying the way they might conflict with copyright goals.¹¹⁰ It may also help distinguish between legitimate licensing practices and invalid restrictions on fundamental user freedoms. Restrictions in EULAs on the use of copyrighted materials are often beyond the reach of copyright L&E. A legal defense can only be invoked in a lawsuit for copyright infringement. The framework of user rights may help bridge such doctrinal gaps. Indeed, user rights might be alienable or at a minimum could be waived by users. But transfer or waiver would require a contract, and in some jurisdictions such contracts may require a higher standard of consent that is often absent in standard form contracts.

EULAs are often conceived of as a *property license*, which is not a contract¹¹¹ but a unilateral legal action whereby rightholders can exercise their rights and define the

¹⁰⁸ Niva Elkin-Koren & Orit Fischman-Afori, *Taking Users' Rights to the Next Level: A Pragmatist Approach to Fair Use*, 33 CARDOZO ARTS & ENT. L.J. 1 (2015).

¹⁰⁹ See generally MARGARET JANE RADIN, *BOILERPLATE: THE FINE PRINT, VANISHING RIGHTS, AND THE RULE OF LAW* 10–12 (2013).

¹¹⁰ See Chapdelaine, *supra* note 93.

¹¹¹ See, e.g., *Jacobsen v. Katzer*, 535 F.3d 1373 (Fed. Cir. 2008).

scope of the authorized use. The binding force of a property license does not derive from exercising autonomous will—it does not require any evidence of consent by the user. The binding force stems from the rightholder's property right: Copyright law empowers owners to exclude others from making certain use of the work, and a license is necessary to permit what the law otherwise prohibits. Under this view of EULAs as property licenses the burden of proof rests on the user, who must show that the use was properly authorized by the rightholder. Yet provisions that pertain to user rights (e.g., limits on fair use) fall beyond the bundle of rights defined by the property rule. Consequently, a property license cannot unilaterally restrict user rights, and stronger evidence of voluntary consent may be required to make such provisions enforceable.

Similarly, restrictions on user rights could also be invoked to claim “copyright misuse”¹¹² or under the U.S. doctrine of preemption, arguing that a contract purports to supersede rights entitled by law.¹¹³ If user rights are secured by copyright, a contract that conflicts with them may be deemed unenforceable, particularly in the case of nonnegotiated contracts. These EULA are unilaterally drafted by copyright owners, and due to systematic public failure the provisions of such licenses will not be balanced by market pressure or public review. The robustness of these licenses raises the risk of practically deviating from copyright's delicate balances and distorting its intended policy.

User rights should not be confined merely to creating an exemption from liability. Rights discourse may also facilitate the imposition of duties on suppliers of digital content or on platforms implementing copyright enforcement procedures, so as to avoid any violation of users' rights. A proper articulation of rights may offer a framework for developing a set of corresponding duties on the part of suppliers.

The user-rights approach thus offers more robust safeguards for users' liberties in the digital ecosystem.

5.6. CONCLUSION

The growing significance of users in the creative ecosystem and blurring distinction between authors and users raise the need to develop a user-rights approach to copyright law. The new threats to users' freedom and to access to knowledge make such rights essential. A user-rights approach would acknowledge the role of users

¹¹² Mark A. Lemley, *Beyond Preemption: The Law and Policy of Intellectual Property Licensing*, 87 CAL. L. REV. 111 (1999).

¹¹³ 17 USC § 301 (2012). Niva Elkin-Koren, *A Public-Regarding Approach to Contracting over Copyrights*, in EXPANDING THE BOUNDARIES OF INTELLECTUAL PROPERTY: INNOVATION POLICY FOR THE KNOWLEDGE SOCIETY 191 (Rochelle Cooper Dreyfuss, Diane Leenheer Zimmerman & Harry First eds., 2001).

in advancing the goals of copyright and may offer a framework for analyzing limits on permissible uses set by private ordering. Even though a user-rights approach is grounded in copyright law, it should also be understood in the context of civil liberties. Our ability to access, process, and share information with others is key to our freedom in the information ecosystem. Hence, limits on access to copyrighted materials may not only restrict users' ability to engage in generating culture, innovate, and compete as producers of new content; they may also affect users' ability to actively participate as citizens in political discourse and shape culture. Expansive copyrights and licenses may threaten free speech, consumer protection, privacy, and access to knowledge. This risk is growing in significance as we move to an environment of more robust algorithmic copyright enforcement by online intermediaries.¹¹⁴

Consequently, developing a user-rights approach in copyright may only be a first step. Understanding user rights as a matter of freedom, within the context of online liberties such as freedom of speech, freedom of information, the right to privacy, and consumer rights may strengthen the theoretical basis for user rights. Articulating user rights as civil liberties may also facilitate the guarantee of these rights by pursuit of different doctrinal schemes.

¹¹⁴ See Maayan Perel & Niva Elkin-Koren, *Accountability in Algorithmic Enforcement: Lessons from Copyright Enforcement by Online Intermediaries* (Working Paper 2015).